HEALTH

Another California county is losing its only hospital after feds refuse to step in

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Glenn Medical Center in Willows on June 13, 2025. Photo by Chris Kaufman for CalMatters

IN SUMMARY

Glenn Medical Center's 'heartbreaking' closure will put 150 people out of work and send rural patients to neighboring counties for care.

Absent a Hail Mary, Glenn County's only hospital is set to close its doors in October.

Tucked between two national forests, the rural county is home to 28,000 people. Without a local emergency room, they'll instead have to travel at least 40 minutes to a neighboring county for critical care. One hundred and fifty health workers will lose their jobs; they're already resigning to seek work elsewhere.

The planned closure of Glenn Medical Center follows a decision by the U.S. Centers for Medicare and Medicaid Services to strip the hospital's federal "critical access" designation, a status that has provided Glenn Medical increased reimbursement and regulatory flexibility. Without that status, the hospital's $28 million in net annual revenue will take a hit of about 40% — a gap too large to fill any other way than closing the hospital, said Lauren Still, the hospital's chief executive.

"It's heartbreaking that we come to this. I am still kind of praying for that 11th hour miracle to come through," Still said. "But honestly, we just have to be realistic, and this is the hand we've been dealt."

Over **the last several months** Still and her team have been attempting to make their case with the federal health agency, even flying to Washington D.C in July in an attempt to lobby their case.

At the crux of the issue is a federal rule, newly reinterpreted, that requires critical access hospitals to be at least 35 miles from the next closest hospital when traveling by main roads. Officials at CMS now say that the next closest hospital, Colusa Medical Center, is only 32 miles away — 3 miles short of the required distance.

Glenn Medical Center and county health officials argue that most people and ambulances take a different route, I-5 to Highway 20. That route is 35.7 miles, a distance that would qualify.

"We really felt that by getting all of our stories out there … showing all of the different people that would be impacted by this decision, we really thought that would be enough information for them [CMS] to consider the human and practical considerations of their decision," Still said. "Unfortunately, the only thing that matters is how they're measuring the distance on the roads."

Left to right Lauren Still, chief administrative officer at Glenn Medical Center, and Glenn County public health officer Dr. Jared Garrison, at the facility in Willows on June 13, 2025. Photo by Chris Kaufman for CalMatters

The feds first notified Glenn Medical in April that a recertification review found the hospital was not eligible for the critical access program. Hospital officials clung to hope that an appeal and communication with the agency would clarify the situation. But in a letter dated Aug. 13, the agency told the hospital it was standing by its original decision.

“After reviewing the hospital’s additional information, CMS found that the hospital continues to not meet the distance requirement,” the letter reads.

The locations of Glenn Medical Center and its neighbor a county over have not changed since Glenn Medical first became eligible for the critical access program in 2001. CalMatters asked the federal agency why it was seeking to revoke the hospital’s designation now after more than two decades of eligibility at the same distance. The agency did not directly answer the question, but in an email simply reiterated the requirements to qualify for the program.

CMS said Glenn Medical Center could convert to another provider type in order to continue participating in the Medicare program. But Still said no other Medicare reimbursement model would pay the hospital at a financially sustainable rate. Under the critical access program, the federal government pays hospitals 101% of their costs for inpatient and outpatient services provided to Medicare patients.

U.S. Rep. Doug LaMalfa, a Richvale Republican who represents Glenn County, said he continues to have conversations with Dr. Mehmet Oz, the administrator at CMS. He said they last spoke last week.

“We’re not giving up by any stretch, we’re going to pull out all the stops,” LaMalfa said. “We had a really good conversation with Dr. Oz and are looking for a way to make it work because the closure is not acceptable. It’s a technical issue that we oughta find a way to work through.”

LaMalfa said he is considering introducing a bill that could update the mileage requirement or give CMS more discretion when evaluating rural hospitals. But it’s unclear that something could get done before October.

U.S. Rep. Doug LaMalfa addresses attendees during a town hall meeting at the Chico Elks Lodge on Aug. 11, 2025. Photo by Salvador Ochoa for CalMatters

Glenn Medical Center and its staff cannot wait for much longer. The hospital announced it would keep its clinics open, but inpatient services will cease Oct. 21. Still said that’s when she expects to no longer have enough staff to be able to operate.

“We had to start talking to staff and telling staff that, “Hey, we don’t have a future here. There’s no viable path forward for us without that critical access designation,’” Still said. “At that point, we started getting staff resignations.”

With the announced closure, most Glenn County residents will have to seek emergency services either at the hospital in Colusa County or further away at Butte County’s Enloe Medical Center, a larger Level II trauma center in Chico.

“We are actively reviewing available resources to ensure our readiness to absorb anticipated increased patient volumes at the Enloe Health Emergency Department,” wrote Enloe Health in an unsigned statement.

Glenn County's two ambulances will also have to travel further and be outside the county for longer periods of time, leaving residents with even more limited emergency resources.

The announced closure is a stark reminder of the precarious state of California's rural hospitals. Even with increased Medicare reimbursement, Glenn Medical Center's annual financial statements show that the hospital consistently operated in the red.

Two years ago, the state bailed out 17 rural and community hospitals – Glenn Medical was not one of them – by loaning them close to $300 million altogether. That loan program was largely prompted by **the closure of Madera Community Hospital**, which also left an entire county without emergency services. After bankruptcy proceedings, Madera Community is now owned and operated by American Advanced Management, a for-profit company that has made a business out of rescuing distressed and shuttered hospitals. The company also owns Glenn Medical Center.

"It's devastating for our group from a personal perspective because we really do pride ourselves in being somebody who comes in and re-opens hospitals," Still said. "When we go into a community, we make that promise to the community that we're not going to bail on them."

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